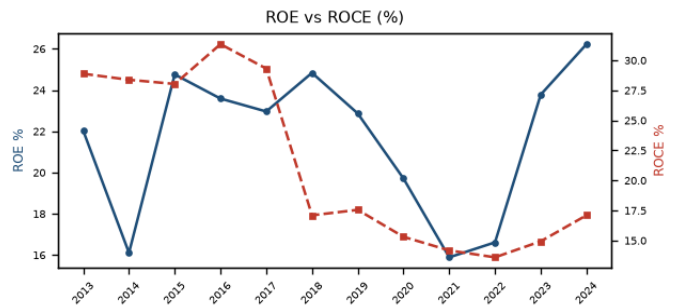
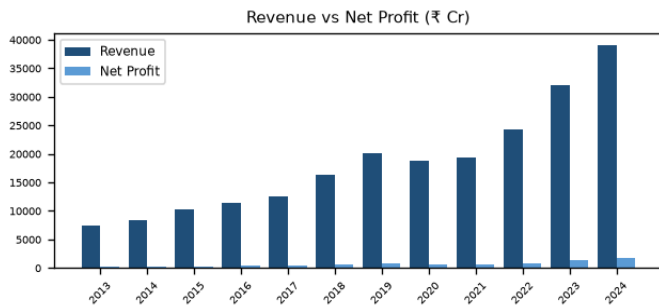


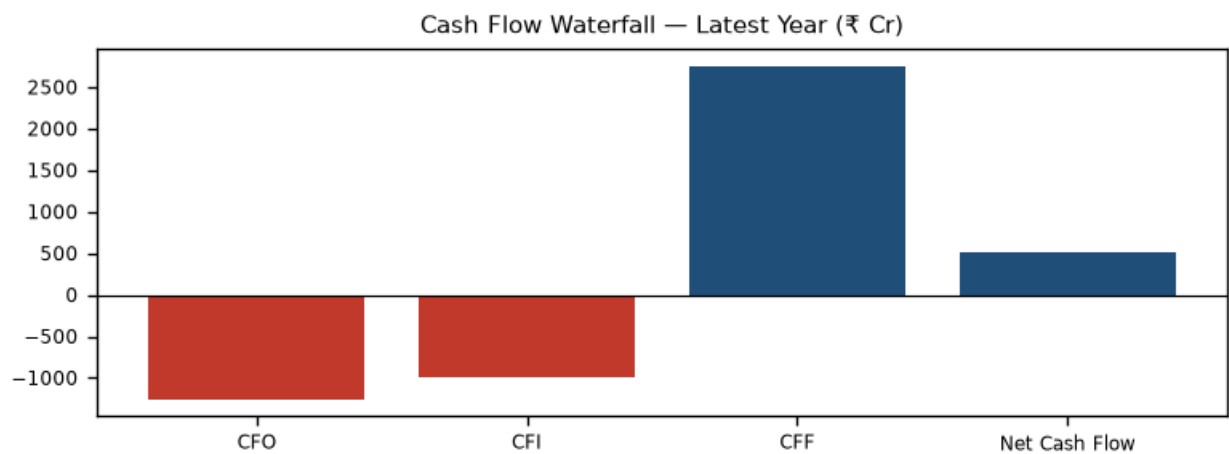
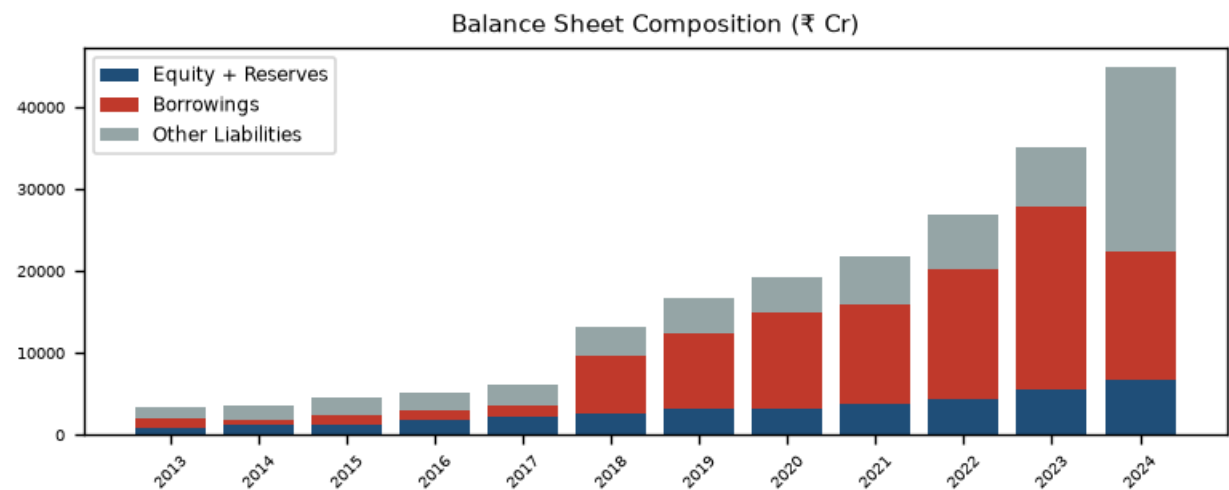
TVS Motor Company Ltd (TVSMOTOR)

Consumer Discretionary — Two Wheelers

ROE	ROCE	Net Profit Margin
26.2%	17.1%	4.5%
D/E	Revenue CAGR (5yr)	FCF (latest, Cr)
3.8x	14.2%	-2254



TVS Motor Company Ltd (TVSMOTOR) — Balance Sheet & Cash Flow



Capital Allocation Pattern: Growth Funded by Debt

Pros

- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (62% confidence)
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality (75% confidence)
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits (66% confidence)

Cons

- ✗ Debt-to-equity ratio of 3.83 is elevated for a non-financial company and warrants monitoring (69% confidence)
- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality (85% confidence)
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (80% confidence)